

sense the objective is to hedge against these retirement risks in the context of one's retirement goals.

Given the growing importance of retirement risk management, it is not surprising that the financial services industry is continuously expanding its repertoire of insurance and investment products and their embedded features. The resulting challenge is determining which of these products should be recommended for allocating a client's wealth and in what proportions.

As a starting point, I would argue that there are three principal financial and insurance categories that should be considered for a comprehensive product allocation strategy.

First, the systematic withdrawal plan (or SWiP) is a strategy in which money is systematically withdrawn from a fund allocated among various investments to generate a retirement income. This process continues until the account value hits zero, or until the end of the retiree's life cycle.

Second, the latest generation of variable annuities offers the option to elect a number of riders or features with embedded guarantees that address retirement risks. The growing list of acronyms includes the GMAB (guaranteed minimum accumulation benefit), GMWB (guaranteed minimum withdrawal benefit) and GMIB (guaranteed minimum income benefit). These features and their associated promises were summarized in Table 9.4. The GMWB and the GMIB are of particular interest for the discussion of retirement income, and going forward I refer to them as guaranteed living benefits or GLiBs.

Finally, this brings us back to lifetime pay-out income annuities (LPIAs), also known as single premium immediate annuities (SPIAs) or fixed immediate annuities (FIAs). The primary risk-management benefit of this product is that it provides the buyer with longevity insurance. The embedded longevity insurance protects the annuitants against outliving their life expectancy. That is what you are insuring against by acquiring a LPIA, and to a certain extent, a guaranteed living income benefit (GLiB). Moreover, the longevity insurance is even more valuable when the LPIA is purchased early in life (for example, prior to age 50) with payments that commence late in life (for example, after age 80). In fact, the greater the gap between the purchase date and the commencement date, all else being equal, the greater are